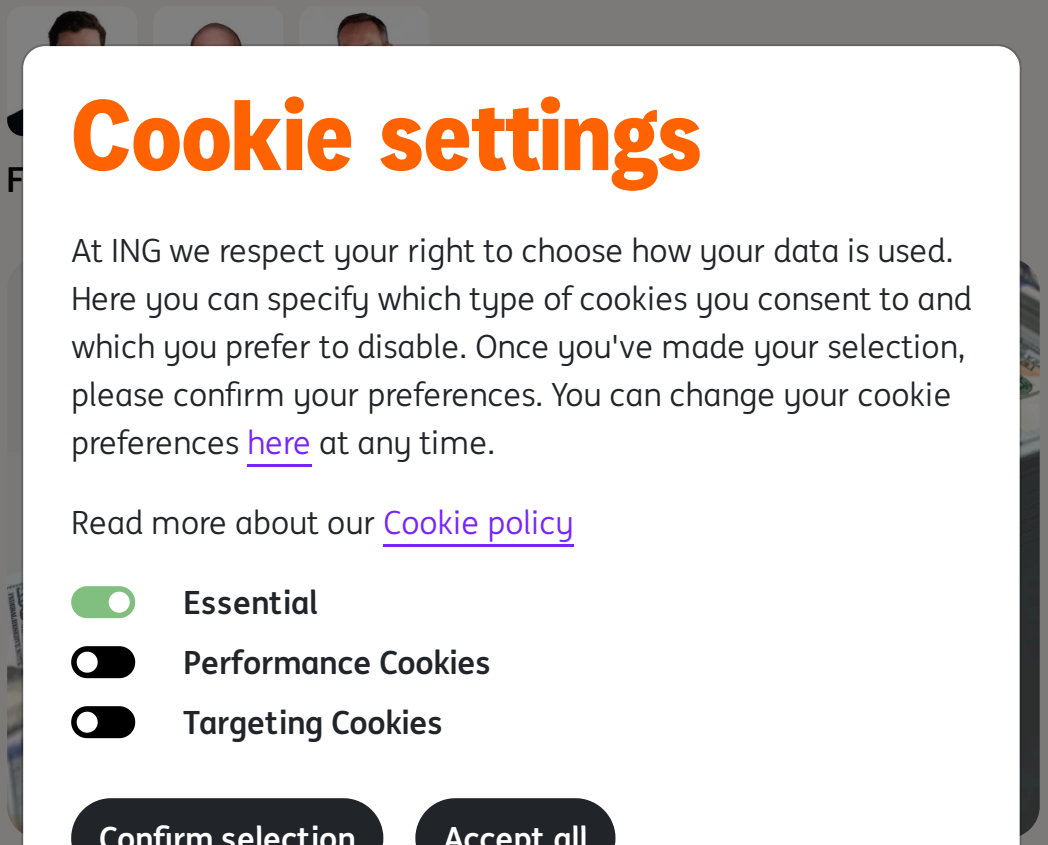
A range of indicators suggests the dollar rally is becoming stretched. But with no clear macro or market catalyst in sight, we see little reason to call for an imminent reversal. We have lowered our EUR forecasts to reflect a more durable fiscal risk premium, while increasing prospects of a BoE hike should keep EUR/GBP under pressure for longer



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We have published the October edition of FX Talking: Au revoir, euro bulls, with updated FX forecasts and views.

USD: Overbought signals not that relevant for now

The start of the week has brought more dollar strength. Firmer oil prices, following increased military activity in the Gulf, have helped keep the dollar on solid footing. Today's calendar is unlikely to be

particularly impactful, with the NFIB survey and home sales figures the main highlights.

That said, several technical indicators point to an increasingly stretched USD rally. Our short-term valuation model shows the dollar overvalued against every G10 currency except GBP, where it's at fair value. On an equally weighted basis, USD is 1.1% overvalued versus G10. EUR, SEK and NZD stand out as particularly cheap, undershooting fair value by 1.5-2.5% and sitting beyond the 1.5 standard deviation threshold.

Positioning tells a similar story. Excluding JPY, where long positions re
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Further ahead, US midterms may represent a somewhat underappreciated USD risk. However, markets have long priced in the possibility of Republicans losing control of Congress, and any precautionary, potentially USD-negative positioning ahead of the vote may not emerge until late October anyway.

Francesco Pesole

EUR: 1.13 is our new year-end target

EUR/USD is around 1.5% undervalued relative to short-term fundamentals. This suggests a moderate build-up in France-related

risk may be becoming entrenched in the euro, but also that the risk premium could expand further if French bonds continue to lose value.

For now, that's not our baseline. While it's early to call for a retightening of the OAT-Bund 10yr gap, expectations that this year's budget can be passed via decree may help contain the spread below 150-160bp.

It's hardly a welcoming environment for EUR bulls, though. Beyond several ECB appearances, including Lagarde's, there are few other domestic drivers for the euro this week. Markets are already fully p
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We have lowered our EUR/GBP forecast and now expect the pair to trade in a 0.84-0.85 range for at least several more months. Idiosyncratic risks surrounding the euro are unlikely to fade anytime soon, and the Bank of England has sent a clear enough signal that it is prepared to hike.

We still think BoE rate expectations are too hawkish for 2027 (100bp by July), but one or two hikes are looking increasingly likely. The dovish shift may have to wait until well into 2027, underpinning GBP strength.

The UK budget on 28 October represents a potential risk for sterling, a
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later today, shifting attention to the breakdown and core reading. We estimate core inflation edged up from 3.0% to 3.1-3.2%, above the CNB's 2.9% forecast. The CNB has long viewed 3.0% as a potential trigger for rate hikes. With headline inflation also above forecast, we expect the CNB to raise rates again in November.

CEE trading was subdued yesterday amid US market closures, leaving our outlook largely unchanged. Rising global energy prices and fresh lows in EUR/USD point to continued pressure on emerging markets today, supporting our bearish view on CEE currencies. The Czech koruna remains the exception: a hawkish inflation

breakdown could provide a catalyst, while we still see 24.250 as fair value given current hawkish rate pricing.

Frantisek Taborsky

FX

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